strayed from its commitment, since the unemployment rate was only a necessary, but not a sufficient, condition for rate raise. Regardless, some analysts criticized the bank for reneging on its guidance.

The experience of the Bank of Japan with its quantitative and qualitative easing (QQE) is a more recent illustration of the challenge of managing forward guidance. Under the much-acclaimed QQE launched in April 2013, the BoJ set an inflation target of 2 per cent to be achieved in two years. Successive policy statements of BoJ kept asserting how the bond-buying programme under the QQE was consistent with the 2 per cent inflation target, even as other numbers put out by the BoJ seemed to be acquiescing in the timetable for the inflation target slipping away.

At RBI, as we moved on, I realized that markets demand not just guidance but also ‘guidance on guidance’—in other words, an explanation of what the guidance means. This can be tricky because, as I said, a lot of thought goes into crafting the guidance and attempts to further explain risk distorting the message.

For instance, in the post-policy media conference following the November 2010 guidance I cited above, I was pushed to elaborate on what we meant by ‘immediate future’. I could have stonewalled the question but that was not my practice. I replied that what we implied by ‘immediate’ was around three months, thereby implying, although not saying so explicitly, that we would stay away from a policy rate hike in the December 2010 mid-quarter review which was six weeks away and consider a hike only at the next quarterly policy review, three months away. This elaboration triggered criticism that a three-month pause implied by the guidance was too dovish and did not sit tidily with our statement on risks to inflation. We could have avoided all this by refraining from giving any guidance at all, but we persisted with it as we believed that we owed this obligation to the markets.

There are parallels from advanced economies on ‘guidance on guidance’ too. The Fed, for instance, had said in 2014 that it would be ‘patient’ in increasing interest rates, a comment which set off a flurry of speculation on what ‘patient’ meant. Rarely had investors lavished so much attention on a single word. When pushed to explain what ‘patient’ meant in Fedspeak,